

worse. More important, though, is that such “explanations” fail to reveal why massive futures contract selling initially occurred or why a discount to the cash market, which triggered the computer programs to sell, would have persisted for so long a time. These factors, simply, are governed by the *market*, and it is the market that crashed. Finally, lest we forget, the programs were designed by human beings to act when *they* would have acted. If computers “panicked,” it is because their designers would have.

Viewed in the proper perspective, the October 1987 crash was *perfectly normal market behavior*. Such crashes occur all the time, though usually at much smaller degrees. When the Dow opens down 1% for no apparent reason in the first few hours of a trading day, relative to the previous week’s advance, it is a crash. Within the context of a Grand Supercycle, the 1987 crash, despite the fact that the October 19th meltdown was the single biggest down day (in arithmetic terms) in Wall Street history, was a minor event. The next decline will prove that assertion, as *the crash that Elliott Wave Principle was talking about hasn’t even occurred yet*. The worst weeks of the Grand Supercycle bear will exceed the destruction of October 1987.

Today, eight years afterward, that crash is forgotten. It is once again accepted wisdom that “it can’t happen again.” The vast majority of analysts have written off October 1987 as “an anomaly,” “an aberration.” Portfolio insurance is no longer a factor, we are told, and besides, the Federal Reserve Board gained experience in 1987 and is in full control this time. As an antidote to this prevailing attitude, keep in mind *Elliott Wave Principle’s* description of the last Supercycle bear market:

In 1929, as bids were withdrawn, “air pockets” developed in the market structure, and prices tumbled precipitously. The best efforts of the leaders of the financial community could not stem the panic once the tides of emotion took control. We have not seen a 1929 situation in fifty years and, while it is to be hoped that it never recurs, history suggests otherwise.

That paragraph described the first subwave (wave A) of a bear market of only Supercycle degree. We now face a Grand Supercycle bear market. *The Elliott Wave Theorist* prepared for the current potential back in October 1988: